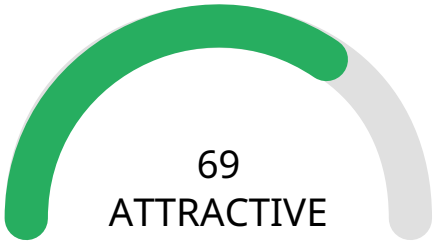
DLR

Digital Realty Trust, Inc. (NYSE)
As-of: 2026-10-18 | Latest Filing: 10-Q Q2 2026 | Currency: USD

$$175.97 [Mkt 18-Oct-26]

Market Cap: $65.3B [Mkt 18-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 78

Largest wholesale data center REIT with ~55% adjusted EBITDA margins and an investment-grade balance sheet (4.7x leverage, BBB/Baa2). Record $1.9B backlog and 1.4 GW under construction show the platform compounding. Dividend $4.88/share covered 1.7x by core FFO.

2. Recent Trend — 80

Q2 2026 beat across revenue, EBITDA, and core FFO with guidance raised twice this year. Core FFO per share ex promote grew 14% YoY, cash renewal spreads hit a record 25.4%, and backlog grew 75% year-to-date. Two straight years of double-digit core FFO growth.

3. Forward Growth — 75

Base case 7% revenue CAGR is credible: backlog at ~30% of in-place rent, 1.4 GW pipeline, and management's stated confidence in extending double-digit FFO growth into 2027. Offset: growth is funded by $4.25-4.75B of 2026 development capex and 13.5M of ATM shares ($2.5B) sold in H1 2026.

4. Valuation — 50

DCF base $176 vs $175.97 spot implies fair value, essentially zero margin of safety. At ~22x 2026 core FFO guidance the multiple is full for a REIT, and the 2.8% dividend yield offers little cushion if the 10Y stays near 5.1%.

5. Catalysts & Risk — 65

Q3 print on Oct 29 is the near-term swing factor. Key risks: development execution and funding (heavy capex plus ATM dilution), power and permitting delays on the pipeline, hyperscale customer concentration, and rate sensitivity of the REIT multiple.

Investment Thesis

- **Scarcity Premium Is Real:** Cash renewal spreads hit a record 25.4% in Q2 and the backlog grew 75% year-to-date to $1.9B. Constrained new supply lets DLR reprice existing powered capacity at materially higher rents [Company 2Q26].
- **Visible Double-Digit Growth:** Core FFO per share guided to $8.15-8.20, a second straight year of double-digit growth, with the backlog at ~30% of in-place rent supporting management's confidence into 2027 [Company 2Q26].
- **Fair Price, Not a Bargain:** Our DCF base case of $176 matches the $175.97 spot price, leaving no margin of safety. The 22x core FFO multiple already prices in the growth story [DCF, Mkt 18-Oct-26].

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (2026E guidance)	$6.85-6.95B [Company 2Q26]	+13% vs FY25 $6.11B [Company 4Q25]	Up
Core FFO/share (2026E, ex promote)	$8.15-8.20 [Company 2Q26]	Q2: $2.13, +14% YoY [Company 2Q26]	Up
Signed backlog (record)	$1.9B / $1.4B share [Company 2Q26]	+75% YTD [Company 2Q26]	Up
Cash renewal spreads (Q2)	+25.4% [Company 2Q26]	Record quarter [Company 2Q26]	Up
Adj. EBITDA margin (2026E)	~55% [Company 2Q26]	$3.75-3.85B guide [Company 2Q26]	Stable
Net debt / Adj. EBITDA	4.7x [Company 2Q26]	BBB/Baa2 rated [Company 4Q25]	Strong

Historical Financial Trend

METRIC	FY22	FY23	FY24	FY25	FY26E
Revenue ($B)	4.69 [Mkt 18-Oct-26]	5.48 [Mkt 18-Oct-26]	5.55 [Mkt 18-Oct-26]	6.11 [Company 4Q25]	6.90 [Company 2Q26]
Revenue growth %	n/a [Mkt 18-Oct-26]	17% [Mkt 18-Oct-26]	1% [Mkt 18-Oct-26]	10% [Company 4Q25]	13% [Company 2Q26]
Core FFO/ share ($)	n/a [Mkt 18-Oct-26]	n/a [Mkt 18-Oct-26]	n/a [Mkt 18-Oct-26]	7.39 [Company 4Q25]	8.15-8.20 [Company 2Q26]
Adj. EBITDA ($B)	n/a [Mkt 18-Oct-26]	n/a [Mkt 18-Oct-26]	n/a [Mkt 18-Oct-26]	n/a [Company 4Q25]	3.75-3.85 [Company 2Q26]

Valuation

Absolute (5/10)

DCF Base $176 [DCF 18-Oct-26]
~22x 2026 Core FFO guidance $8.15-8.20 [Company 2Q26]
Dividend yield 2.8% [Mkt 18-Oct-26]

DCF implies fair value at the current price. The multiple is full for a REIT and the yield offers little cushion with the 10Y near 5.1%.

Versus Peers (5/8)

EQIX ~24x 2026 AFFO guidance [Mkt 18-Oct-26]
DLR ~22x 2026 Core FFO guidance [Company 2Q26]

DLR trades at a slight discount to Equinix despite comparable AI exposure; the discount reflects heavier development capex intensity and recent ATM dilution.

Versus History (4/7)

DLR has historically traded ~18-22x FFO [Mkt 18-Oct-26]
Now at the high end of its historical range

The premium reflects AI-driven demand, but it leaves no room for execution slips on the development pipeline.

Catalyst Timeline

Oct 29, 2026 [Mkt 18-Oct-26]
Q3 2026 earnings. Consensus ~$1.76B revenue and ~$1.99 FFO/share; backlog conversion and renewal spreads in focus.

Ongoing [Company 2Q26]
$1.4B signed-not-commenced backlog at DLR share (~30% of in-place data center rent) plus 1.4

Top Risk Factors (Item 1A)

1. Funding and dilution: 2026 development capex guidance of $4.25-4.75B (net of partner contributions) is funded partly by equity: 13.5M ATM shares ($2.5B) sold in H1 2026. Continued dilution would drag per-share growth. [Company 2Q26]

2. Development execution and power: 1.4 GW under construction must be delivered on time with secured power. Municipal pushback on grid strain

> GW under construction converting to revenue through 2027.

> **2027** [Company 2Q26]
> Management sees confidence to extend double-digit core FFO per share growth runway into 2027 and beyond on backlog visibility.

What Would Change Our Score

The Oct 29 Q3 print is the swing factor: another beat-and-raise with backlog growth would support the Bull case toward $212, while a funding-heavy print with more ATM dilution or power delays on the pipeline would push toward the $142 Bear case. Sustained renewal spreads above 10% would lift Forward Growth and Valuation.

and water usage, the same dynamic driving the scarcity premium, can also delay DLR's own pipeline. [Company 2Q26]

3. Rate sensitivity: At ~22x 2026 core FFO with the 10Y near 5.1%, the REIT multiple is rate-sensitive. A higher-for-longer rate regime would compress the valuation even if operations deliver. [Mkt 18-Oct-26]

Forward Growth Drivers

- Scarcity premium: municipal moratoriums on new data center development constrain supply while AI demand grows. DLR's existing powered shells reprice higher, with cash renewal spreads hitting a record 25.4% in Q2 2026. [Research]
- AI and hyperscale demand: $307M of Q2 bookings at 100% share ($208M at DLR share), two post-quarter hyperscale leases worth $410M annualized GAAP rent at 100% share, and 1.4 GW of development under construction. [Company 2Q26]
- Interconnection moat: record $108M of 0-1 MW plus interconnection bookings in Q2 ($20.5M pure interconnection). Interconnection revenue is high-margin, sticky, and hard to replicate. [Company 2Q26]
- Funding flexibility: $12B+ of remaining hyperscale development capacity via the JV platform and closed-end fund; net debt to adjusted EBITDA 4.7x with BBB/Baa2 ratings. [Company 2Q26]

Missing / Modified Data Log

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